

IMPACT ON RIL

SCENARIO ONE

RIL earns \$4.2/mmBtu for its gas. Expected profit from D6 to be Rs 5,600 crore in FY2010. E&P in profit over 2010-15.

SCENARIO TWO

RIL earns \$2.34/mmBtu from NTPC and RNRL and \$4.2/mmBtu from the rest. It will lose \$500 mn to \$1 bn annually but as it would produce over 80 mmscmd of gas, it would still be profitable.

SCENARIO THREE

RIL earns similar revenues as in scenario 2, but it pays taxes (barring income tax) based on \$4.2/mmBtu. The EPS will become negative in 2012.

SCENARIO FOUR

Reliance pays a tax of 34 per cent post two years for E&P.

IMPACT ON RNRL

SCENARIO ONE

If the ruling is in favour of RNRL, it would be beneficial to Reliance Power. But the landed price of its gas would be determined by the cost of transportation and margins added by RNRL. RPower's 7,000 MW Dadri plant has requisite clearances but the first unit is expected to come up after 30 months post the final verdict. The landed cost may be \$5.5/mmBtu.

SCENARIO TWO

In case RNRL does not get gas at \$2.34/mmBtu, all its projects will get delayed in the absence of any bankable guarantee. In case the landed cost of gas increases from 5.5/mmBtu to \$6.7/mmBtu for RNRL, the valuation of the business will be affected negatively.

OIL AND NATURAL GAS EXPLORATION AT KG BASIN

price of \$4.20 fixed by the Empowered Group of Ministers, which is applicable to the existing customers. After starting commercial production from the KG D6 field on April 2, 2009, RIL is currently producing 30 mmscmd of gas. It has signed up with customers for 40 mmscmd of gas. The production should touch 80 mmscmd in the next six months. The final verdict rests with the apex court. If it ratifies the high court verdict, RIL's profitability will be hit from 2012, when the gas supply will commence at lower rates. Also, the Bombay High Court ruling will set a precedent for RIL's dispute with NTPC over the same issue of gas pricing.

So what does this battle mean for millions of investors? Analysts are projecting three potential scenarios that may play out in the future. The first scenario being that RIL continues to sell its 80 mmscmd of gas at \$4.2/mmBtu. This means that its net

asset value (NAV) touches \$20 billion and the impact on the EPS will be Rs 7.83 for FY2012. Analysts, however, say RIL will have to part with some gas eventually, which may not have positive implications for Mukesh as the company's net valuation will dip in that case. Under scenario two, according to Morgan Stanley's research, RIL will earn \$2.34/mmBtu for the 40 mmscmd of gas it sells to NTPC and RNRL and will earn \$4.2/mmBtu on the rest of the lean gas it sells to other customers. In this case, RIL will pay the government based on what it earns. If this happens, then RIL's NAV comes down to \$17.09 billion. If it sells its total production of gas at two different prices, RIL would technically lose \$500-550 million annually,

or about \$1/mmBtu for 40 mmscmd of gas. But with the company expected to produce over 80 mmscmd of gas, it remains a profitable proposition.

RIL's woes, however, don't end with this gas supply dispute. Another threat to the company's profitability comes from tax-related risks. While the production sharing contract (PSC) signed under the New Exploration and Licensing Policy (NELP) provides for a seven-year tax holiday for hydrocarbon production, the Income Tax Act does not provide for the same as far as natural gas is concerned. The Union Budget for 2009-10 cleared the path for a tax holiday for block NELP VIII, which would be rewarded in the future. The Budget is, however, mum on historical blocks. Analysts believe that since future assets have received a tax exemption, eventually RIL will get it on gas, especially since the Ministry of Petroleum and Natural Gas has signed the PSC. But if RIL pays profit petroleum at \$4.2/mmBtu, then its NAV will decline to \$12.19 billion and EPS will fall. However, due to the high capex, it is believed RIL's exploration and production earnings will be under minimum alternate tax for the three years it takes to recover its capex.

While the going does not look rosy for RIL, the market is betting on Anil emerging the winner. According to Nagraj, any ruling that ensures gas supplies to RNRL and Reliance Power will give boost Anil Dhirubhai Ambani Group (ADAG) stocks. However, the landed price of gas to Reliance Power will be determined by the cost of transportation and margins added by RNRL.

Analysts expect a similar outcome in RIL's dispute with NTPC. "We believe that the chances of a ruling in favour of NTPC

remain very high in the ongoing RIL-NTPC case. If so, we expect NTPC to also procure gas at \$2.97/mmBtu or at a lower price for upcoming plant at Kwas and Gandhar," says an analyst. Dalal Street believes it is advantage Anil Ambani for now. ■

RIL lost Rs 32,574 crore in market capitalisation on July 15 when the verdict came, while RNRL gained Rs 3,438 crore.